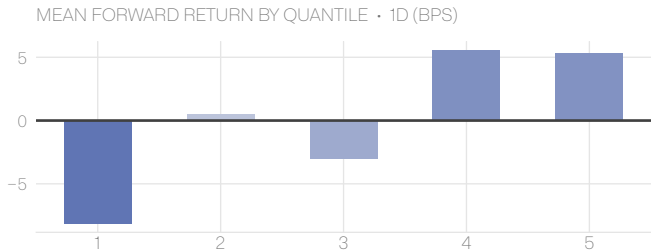




# Margin Risk

Assets with higher at-risk-of-liquidation positions tend to underperform less leveraged assets.

The factor capitalizes on the tendency of assets with higher at-risk-of-liquidation positions to underperform less leveraged assets. It predicts positions vulnerable to forced closure at 1%, 2%, 5% and 10% deviations from the current price, aggregated from the top ten most reputable exchanges.



The universe consists of the most liquid and actively traded assets, identified on a rolling basis and survivorship-bias free. Positions are scaled by the inverse of rolling volatility; the factor is available point-in-time with hourly updates.

## EXAMPLE TOP 40 CROSS-SECTIONAL PORTFOLIO

Long and short the dynamic, rolling Top 40 universe (point-in-time), sized by the factor's cross-sectional strength. Rebalanced daily.

[Download Returns \(CSV\)](#) →

### PERFORMANCE

Report Period Start Date Jan 2021 • End Date Aug 2026

#### Cumulative Returns

| MTD   | Last Month | 1M    | 3M    | YTD   |
|-------|------------|-------|-------|-------|
| -1.1% | -0.2%      | -1.2% | -3.0% | -1.2% |

#### Annualised Returns (CAGR)

| 1Y   | 3Y    | 5Y    | SI    |
|------|-------|-------|-------|
| 8.1% | 17.3% | 18.1% | 27.0% |

### RISK PROFILE

#### Realised Volatility (annualised)

| 1M   | 3M    | 1Y    | 3Y    | 5Y    | SI    |
|------|-------|-------|-------|-------|-------|
| 7.6% | 11.4% | 11.6% | 13.9% | 13.2% | 14.6% |

#### Max Drawdown

| %      | Date       |
|--------|------------|
| -12.2% | 2024-01-12 |

### CUMULATIVE RETURN



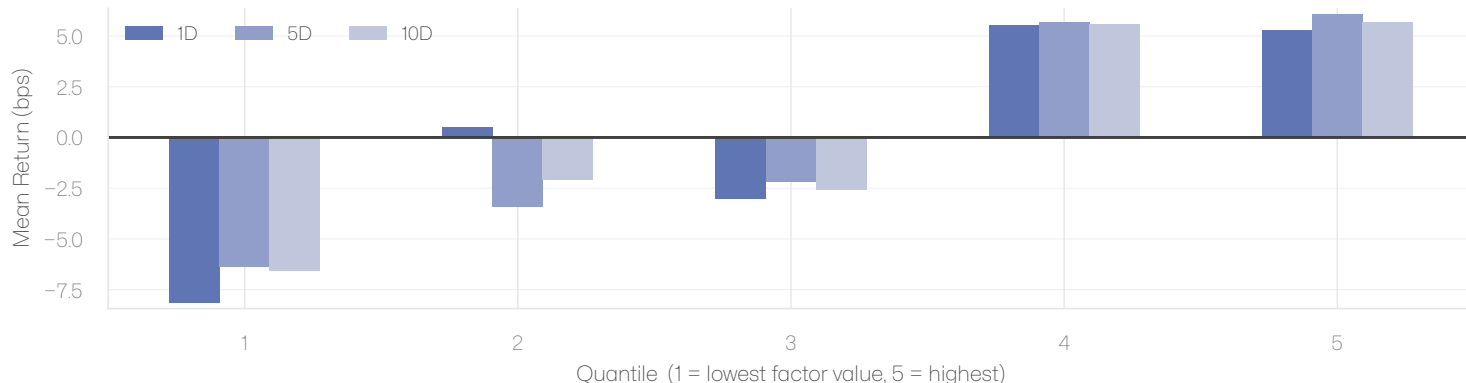
Note – Performance is for an illustrative single-factor portfolio (positions sized proportionally to the factor signal across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

# Factor Analysis

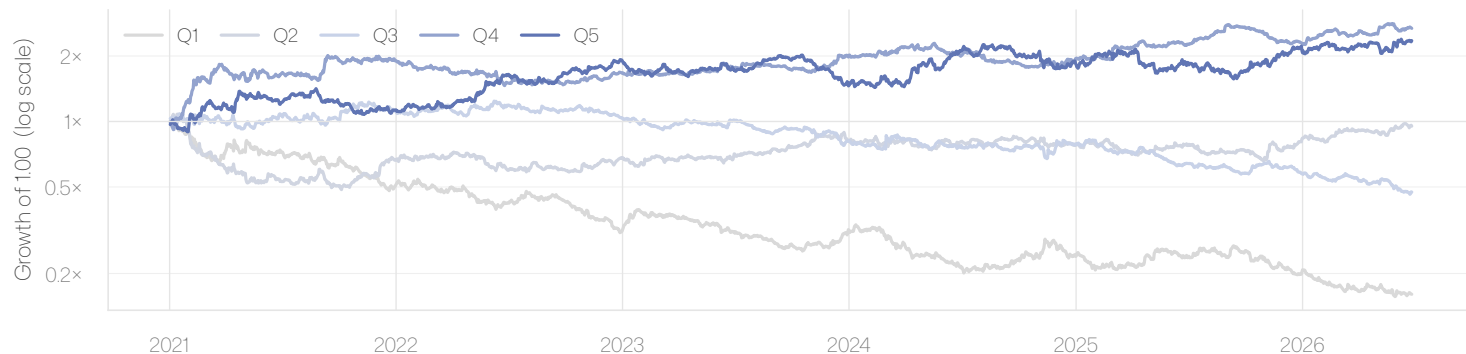
[Download Factor Data \(CSV\)](#) →

Diagnostics on the raw factor values, independent of portfolio construction: the quantile and IC plots show whether the signal cross-sectionally separates out- from under-performers, and how consistently. Computed point-in-time on the rolling Top 40 universe (the live factor spans many more tokens – see the raw factor-data CSV in the data room).

Mean Period Wise Return by Factor Quantile

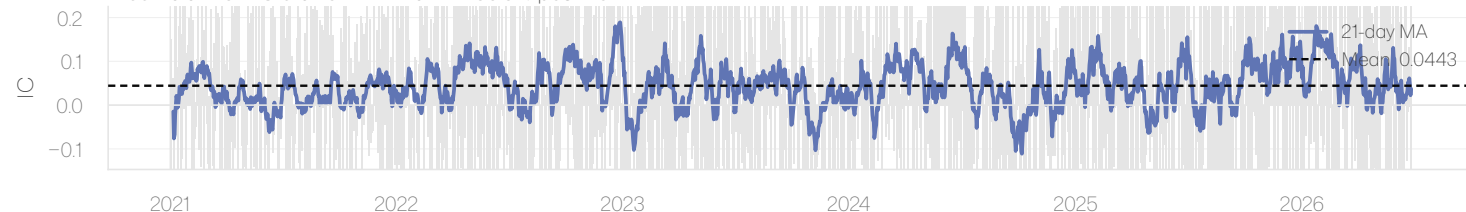


Cumulative Alpha by Quantile • demeaned, 1D



Information Coefficient (Spearman)

Mean 0.0443 • Std 0.2672 • IR 0.17 • 56.3% positive • 1D



## ABOUT APERIODIC FACTORS

Aperiodic Factors publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – built for systematic research and backtesting. Full catalog, methodology and API at [factors.aperiodic.io](https://factors.aperiodic.io); see the materials below.

[View this factor on factors.aperiodic.io](#) →

[Replication notebook – full AlphaLens analysis](#) →

Have further questions? Book a call with our team – [factors.aperiodic.io/booking](https://factors.aperiodic.io/booking)

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